

Introduction to the Millennium

Edition

This book was written to offer encouragement and basic information to the individual investor. Who knew it would go through thirty printings and sell more than one million copies? As this latest edition appears eleven years beyond the first, I'm convinced that the same principles that helped me perform well at the Fidelity Magellan Fund still apply to investing in stocks today.

It's been a remarkable stretch since *One Up on Wall Street* hit the bookstores in 1989. I left Magellan in May, 1990, and pundits said it was a brilliant move. They congratulated me for getting out at the right time—just before the collapse of the great bull market. For the moment, the pessimists looked smart. The country's major banks flirted with insolvency, and a few went belly up. By early fall, war was brewing in Iraq. Stocks suffered one of their worst declines in recent memory. But then the war was won, the banking system survived, and stocks rebounded.

Some rebound! The Dow is up more than fourfold since October, 1990, from the 2,400 level to 11,000 and beyond—the best decade for stocks in the twentieth century. Nearly 50 percent of U.S. households own stocks or mutual funds, up from 32 percent in 1989. The market at large has created \$25 trillion in new wealth, which is on display in every city and town. If this keeps up, somebody will write a book called *The Billionaire Next Door*.

More than \$4 trillion of that new wealth is invested in mutual funds, up from \$275 billion in 1989. The fund bonanza is okay by me, since I managed a fund. But it also must mean a lot of amateur stockpickers did poorly with their picks. If they'd done better on their own in this mother of all bull markets, they wouldn't have migrated to funds to the extent they have. Perhaps the information contained in this book will set some errant stockpickers on a more profitable path.

Since stepping down at Magellan, I've become an individual investor myself. On the charitable front, I raise scholarship money to send inner-city kids of all faiths to Boston Catholic schools. Otherwise, I work part-time at Fidelity as a fund trustee and as an adviser/trainer for young research analysts. Lately my leisure time is up at least thirtyfold, as I spend more time with my family at home and abroad.

Enough about me. Let's get back to my favorite subject: stocks. From the start of this bull market in August 1982, we've seen the greatest advance in stock